Lavender 08 2023

Originator: Spandana Sphoorty Financial Limited

September 24, 2024

Instrument	Amount (₹ crore)@	Balance Tenure (months)*	Credit Enhancement (₹ crore)		Rating[1]	Rating Action
			Cash Collateral	Over Collateral		
Series A1 PTC	28.15	8	7.81	11.72	CARE AA (SO)	Upgraded from CARE AA-(SO)

@After August 2024 payout.
*Tenure/door-to-door maturity may change due to prepayments or changes in interest rates if any.

Rationale and key rating drivers

CARE Ratings Limited (CARE Ratings) has revised the rating of the Series A1 PTC issued by Lavender 08 2023, backed by microfinance loans receivables originated by Spandana Sphoorty Financial Limited (SSFL), at 'CARE AA (SO)' (pronounced as Double A [Structured Obligation]).

Revision in ratings is primarily based on performance of the underlying loans in the past 11 months post-securitisation, robust legal structure, well-defined payment mechanism, significant build-up in cash collateral (CC) and over collateral (OC) – as a percentage of the balance amount of pass-through certificates (PTCs), subordination of excess interest spread (EIS), servicing capability and SSFL's overall performance.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors - Factors that could, individually or collectively, lead to positive rating action/upgrade:

- Delinquencies (90+ DPD as % of initial POS) of <2% and the sustained high collection efficiency (cumulative collection efficiency of >98%).
- Build-up of CC of over 4x the initial proposed (CC; as a percentage of the balance principal outstanding [POS]).

Negative factors - Factors that could, individually or collectively, lead to negative rating action/downgrade:

- Delinquencies (90+ DPD as % of initial POS) of >5% and the sustained lower collection efficiency (cumulative collection efficiency of <90%).
- Deteriorating credit profile of the originator.
- Utilisation of cash collateral.
- Non-adherence to key transaction terms envisaged at the time of rating.

Analytical approach

The rating action is based on inter alia, observed and expected performance of pool, presence of credit enhancement (CE) and adherence to the transaction structure.

Pool Performance:
The pool has amortised by 64.28% in 11 months post-securitisation, with nil utilisation of CC. The pool has exhibited moderate delinquencies. As on August 2024, overdue (OD) (as a percentage of the initial principal outstanding [POS]) is 1.64%. The credit enhancement (CE) available is sufficient to sustain the rating for balance tenure.

[1]Complete definitions of the ratings assigned are available at www.careedge.in and in other CARE Ratings Ltd's publications

Pool summary (as of Aug-24 payout)	
Months post-securitisation	11
Pool amortisation	64.28%
30+ delinquency (percentage of the initial pool POS)	5.25%
90+ delinquency (percentage of the initial pool POS)	3.21%
Overdue amount (percentage of the initial pool POS)	1.64%
Cumulative Collection Efficiency [CCE]	97.54%
CC (percentage of the balance PTC POS)	27.76%
Cumulative prepayments	12.60%

Detailed description of key rating drivers

Key strengths:

- CC as a percentage of PTC POS is 27.76%, which remains unutilised, and OC, which is 41.64% of PTC POS.
- The pool has performed on expected lines for 11 months (post-securitisation) and has amortised 64.28%.
- Well-defined payment mechanism and adherence to the transaction structure.

Key weakness:

- Moderate delinquency with OD of 1.64% and 90+ DPD of 3.21% (as a percentage of initial pool POS).
- Weak borrower profile, as this segment is susceptible to socio-political interference and other external shocks.

Liquidity: Strong

Inherent liquidity in the structure is strong. Interest payouts for Series A1 PTCs are promised monthly while the principal of Series A1 PTC is promised to be paid on or before the final legal maturity. The investors in Series A1 PTC may expect principal repayment monthly per the agreed waterfall mechanism. In case of delinquency, payouts are expected to be supported by CC (in the form of fixed deposits [FDs]), OC, and EIS.

Key rating assumptions

CARE Ratings has analysed the transaction to assess whether CE is sufficient to cover shortfalls. Since the transaction is sensitive to credit quality of the underlying pool, CARE Ratings has analysed performance of the pool and overall portfolio performance of the originator. Considering borrower profile and loan, pool characteristics and portfolio performance, CARE Ratings has taken the average shortfall from 7% to 9% of the principal outstanding. Base case shortfalls were stressed and other key factors such as timing of shortfalls, recovery assumptions, and time to recovery. CARE Ratings has found that CE provided is sufficient to cover shortfalls in a stress scenario commensurate with the assigned rating. The pool cash flow has been further adjusted for prepayments of underlying loans, assuming monthly prepayments in the range of 0.50%-1.00%.

Applicable criteria

Policy on Default Recognition
CARE Ratings' methodology for asset/mortgage-backed securitisation

About the company and industry

Industry Classificationclassification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Finance	Securitisation

SSFL is primarily engaged in extending microfinance loans through the joint liability group (JLG) model, primarily to borrowers belonging to low-income households. In 2003, the company was registered with the Reserve Bank of India (RBI) as a non-deposit taking non-banking finance company (NBFC-ND) and is currently registered under the new category of NBFC-microfinance institution (MFI). The company went into corporate debt restructuring (CDR) post Andhra Pradesh crisis in 2010 and exited CDR in April 2017.

SSFL was promoted by Padmaja Reddy, who holds ~15% stake in the company and is a member of the board but does not hold significant control. Other major stakeholders are Kedaara Capital and Affiliates (holding 58.19%), JM Financial Products Limited (holding 9.94%), and Valiant Mauritius Partners FDI Limited (holding 9.46%). The new CEO, Shalabh Saxena, and CFO, Ashish Damani, have come from Bharat Financial Inclusion Limited. The positions of CTO, CBO and CXO were also filled thereafter by Kedaara Capital.

SSFL has presence in 14 states with 1,533 branches. The portfolio is moderately diversified, as Madhya Pradesh constituted the maximum of 21.31%, but the top four states constituted 76.06% of the portfolio. SSFL is focused on its micro-credit business and follows the JLG model for risk mitigation. SSFL's business is targeted towards under-privileged women.

Key financial indicators – SSFL

Particulars	FY22 (A)	FY23 (A)	FY24 (A)
Total income (₹ crore)	1,392	1,394	2,407
PAT (₹ crore)	47	12	468
Total assets (₹ crore)	5,264	9,186	12,870
Net NPA (%)	6.78	0.58	0.29
ROTA (%)	0.68	0.15	4.24

A: Audited; Note: 'the above results are latest financial results available'

Status of non-cooperation with previous CRA: Not applicable

Any other information: Nil

Rating history for the last three years: Please refer Annexure-2

Covenants of the rated instruments/facilities: Detailed explanation of the covenants of the rated instruments/facilities is given in Annexure-3

Complexity level of the various instruments: Annexure-4

Lender details: Annexure-5

Annexure-1: Details of instruments/facilities:

Name of the Instrument	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Pass Through Certificates		30-08-2023	10.50	15-04-2025	28.15	CARE AA (SO)

Annexure-2: Rating history for the last three years:

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024	Date(s) and Rating(s) assigned in 2022-2023	Date(s) and Rating(s) assigned in 2021-2022
1.	Pass Through Certificates	LT	28.15	CARE AA (SO)	-	1)CARE AA- (SO) (07-Nov-23) 2)Provisional CARE AA- (SO) (30-Aug-23)	-	-

LT- Long term

Annexure-3: Detailed explanation of the covenants of the rated instruments/facilities

Not applicable

Annexure-4: Complexity level of the various instruments rated

Sr. No.	Name of Instrument	Complexity Level
1.	Pass-through certificates	Highly complex

Annexure-5: Lender details

Not applicable

Note on the complexity levels of the rated instruments: CARE Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for any clarifications.

Contact us

Media Contact	Analytical Contacts
Name: Mradul Mishra Director **CARE Ratings Limited** Phone: +91-22-6754 3596 E-mail: mradul.mishra@careedge.in **Relationship Contact** Name: Pradeep Kumar V Senior Director **CARE Ratings Limited** Phone: 044-2850 1000 E-mail: pradeep.kumar@careedge.in	Name: Vineet Jain Senior Director **CARE Ratings Limited** Phone: +91-22-6754 3456 E-mail: vineet.jain@careedge.in Name: Sriram Rajagopalan Director **CARE Ratings Limited** Phone: +91-22-6754 3652 E-mail: sriram.rajagopalan@careedge.in Name: Chirag Gambhir Associate Director **CARE Ratings Limited** Phone: +91-22-6754 3423 E-mail: chirag.gambhir@careedge.in

About us:

Established in 1993, CARE Ratings is one of the leading credit rating agencies in India. Registered under the Securities and Exchange Board of India, it has been acknowledged as an External Credit Assessment Institution by the RBI. With an equitable position in the Indian capital market, CARE Ratings provides a wide array of credit rating services that help corporates raise capital and enable investors to make informed decisions. With an established track record of rating companies over almost three decades, CARE Ratings follows a robust and transparent rating process that leverages its domain and analytical expertise, backed by the methodologies congruent with the international best practices. CARE Ratings has played a pivotal role in developing bank debt and capital market instruments, including commercial papers, corporate bonds and debentures, and structured credit.

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